

2016 and peaked at ₹8.96 lakh crore in March 2018.

Then, RBI's clean-up measures started showing results. In FY23, GNPA's had dropped to ₹4.28 lakh crore or 5% of gross advances. The clean-up of balance sheets led to rapid growth in the profitability of PSBs. Robust credit growth also helped. CMIE Industry Outlook data shows that in the past 10 years, PSBs' total outstanding credit has surged over 90% to ₹87.55 lakh crore in FY24. Credit growth also picked up in the past three years, with a 40% increase recorded since FY21.

Invesco's Kothari explains that PSBs as a set witnessed solid earnings rebound, with 43% CAGR between FY21 and FY24. The non-financial segment also recorded 22% earnings CAGR in that period. PSU companies now report a healthy RoE of 17%, which is likely to sustain for the next couple of years.

44 | DEFENCE DRIVING GROWTH

The Indian defence sector is known to be saddled with red tape, project delays, and cost overruns, but in recent times, it is emerging as a world-class hub with a robust local manufacturing ecosystem. With over 100 firms exporting defence equipment, the government expects the figure to cross ₹50,000 crore by FY29.

The government's focus on self-reliance and growing a manufacturing ecosystem has boosted India's defence production and exports. CMIE Economic Outlook data shows that in the Union Budget 2024-25, the government allocated ₹6.22 lakh crore to the defence sector compared to ₹2.54 lakh crore in FY14. Similarly, the government has spent ₹12.73 lakh crore on capital outlay for defence services (including BE of ₹1.72 lakh crore for FY25) over the past 11 years.

To better understand the transformation of defence manufacturing in India, let us take the example of two tanks. Ar-



"If we do not value their (PSUs') contribution as majority shareholders, how do we expect minority shareholders to value them?"

TUHIN KANTA PANDEY
FINANCE SECRETARY & SECRETARY, DIPAM



"They are wealth creators... only 57 listed PSUs (which is only 1% of the total listed firms on the BSE) form more than 10% of the market capitalisation on the BSE"

ATUL SOBTI
DIRECTOR GENERAL, SCOPE

₹5.15
LAKH CRORE
THE COMBINED PROFIT AFTER TAX (ANNUAL) OF THE 58 LISTED PSUs ON THE BSE PSU INDEX IN FY24

jun Mk I is India's main battle tank. Its design began in 1986 and was completed in 1996, and the tank entered service in 2004. But even after investing decades on the Arjun Mk I, the army is heavily dependent on Russian-origin tanks. On the other hand, India's indigenous light tank 'Zorawar'—jointly developed by the DRDO and Larsen and Toubro (L&T)—recently went through test trials. It took just two years from design to trials and the tank is likely to be inducted into service by 2027.

Per government data, India's annual defence production hit a record high of ₹1.27 lakh crore in FY24 with a growth of 16.7% year-on-year; it was a 60% increase since FY20. Of the total value of production in 2023-24, about 79.2% has been contributed by defence PSUs/other PSUs and 20.8% by the private sector. Meanwhile, defence exports grew 31-fold to ₹21,083 crore in FY24 from ₹686 crore in FY14, reflecting India's growing clout in the global defence manufacturing market.

Defence Minister Rajnath Singh has announced that the government's objective will be to focus on domestic production and increase defence exports in the times to come. "Our target will be to export over ₹50,000 crore worth of defence equipment by 2028-29," he said recently.

THE PATH TO PROFITS

As a result of these efforts, the profitability of PSUs has rebounded in the past couple of years. According to ACE Equity data, between FY14